

Prompt 1: scan the numbers

The Home Depot, fiscal 2021 to fiscal 2025 (year ended 1 February 2026), with the fourth quarter. Prompt version 2.12, run 4 October 2026. Run A of two identical runs; both gave the same size for every flag. Test output: a real company used for testing only.

Measure	FY2021 (Jan 2022)	FY2022 (Jan 2023)	FY2023 (Jan 2024)	FY2024 (Feb 2025, 53 wk)	FY2025 (Feb 2026)	Q4 FY2024 (14 wk)	Q4 FY2025 (13 wk)	Industry
Days sales outstanding		7.7	7.9	11.4	12.4	12.1	13.3	
Days inventory		86.6	75.1	81.9	85.6	86.2	91.3	
Days payable		39.8	35.9	41.7	38.1	43.9	40.6	
Receivables growth less sales growth, pts			+3.3	+42.8	+10.9	+33.2	+17.9	
Inventory growth less cost-of-sales growth, pts			-12.9	+7.4	+6.7	-2.8	+13.6	
Payables growth less cost-of-sales growth, pts			-9.5	+14.5	-7.1	+4.4	-0.2	
Receivables, % of sales		2.1	2.2	3.1	3.4			2.8
Inventory, % of sales		15.8	13.7	14.7	15.7			16.8
Payables, % of sales		7.3	6.6	7.5	7.0			9.4
Gross margin, %	33.6	33.5	33.4	33.4	33.3	32.8	32.6	34.2
Operating margin, %	15.2	15.3	14.2	13.5	12.7	11.3	10.1	11.9
Accruals, % of average assets			-7.9	-5.8	-2.2	-1.7	-0.7	
Free cash flow ÷ net income	0.85	0.67	1.19	1.10	0.89	1.19	0.89	
Depreciation rate, %				7.44	7.38			
Capital spending ÷ depreciation		1.13	1.07	1.06	1.07			1.2
Beneish M-score			-2.80	-2.12	-2.42			

Cost line: Cost of sales, as reported. Depreciation throughout is the property note's depreciation and finance lease amortization expense; the M-score's depreciation index sets it against itself plus net property. Q4 is from the spreadsheet (one cash flow line is mixed basis and is left out); quarterly accruals are not annualised.

Flags

- Receivables.** Days sales outstanding rose from 7.9 (FY2023) to 11.4 to 12.4; receivables are 3.4% of sales against 2.8% for the industry. Acquisitions took 17,644 of cash in FY2024 and 5,410 in FY2025.
Size: 2.4% of pre-tax income (438: receivables of 5,597 less 5,159 at FY2024 days). Up 3 years running; 2 same-quarter comparisons.
- Operating margin.** Fell from 15.3% (FY2022) to 14.2%, 13.5% and 12.7%, while gross margin moved from 33.5% to 33.3%; Q4 fell from 11.3% to 10.1%. Intangible amortization rose from 186 to 607 over the two acquisition years.
Size: 7.2% of pre-tax income (1,334: the 0.81-point fall in FY2025 times revenue of 164,683). Down 3 years running; 2 same-quarter comparisons.
- Cash flow against earnings.** Free cash flow fell from 1.19 times net income (FY2023) to 1.10 to 0.89; accruals moved from -7.9% to -2.2% of average assets. Operating cash flow fell 3,485 in FY2025.
Size: 8.1% of pre-tax income (1,510: net income of 14,156 less free cash flow of 12,646). Down 2 years running; 2 same-quarter comparisons.
- Inventory.** Days inventory rose from 75.1 (FY2023) to 81.9 to 85.6; Q4 rose from 86.2 to 91.3. The same acquisitions could explain it; inventory is 15.7% of sales against 16.8% for the industry.
Size: 5.9% of pre-tax income (1,102: inventory of 25,817 less 24,715 at FY2024 days). Up 2 years running; 2 same-quarter comparisons.

5. Payables. Payables fell 3.7% in FY2025 while cost of sales rose 3.4%: days payable went from 41.7 to 38.1, and payables are 7.0% of sales against 9.4% for the industry.

Size: 5.9% of pre-tax income (1,090: 12,581 at FY2024 days less payables of 11,491). Down 1 year; 1 same-quarter comparison.

Revised figures: four later changes, none of which moved income or equity: other assets at January 2024 went from 4,262 to 656 when intangible assets of 3,606 took their own line, and cash flow depreciation for FY2022, FY2023 and Q1 FY2024 was cut by 179, 186 and 52, the intangible amortization now shown separately.

Not calculated: the allowance as a share of gross receivables (both annual reports say only that it "was not material"; no amount is given); the depreciation rate before FY2024 and for the quarters (gross property is given at three year-ends only); days, growth gaps and accruals for FY2021 (no balance sheet before January 2023); the two quarters after February 2026 (no attached document covers them).

Items to check, not findings. Every figure was calculated in code from the attached documents; the code is available on request.